



**QUIDEL THIRD QUARTER 2019
CONFERENCE CALL SCRIPT
Wednesday, October 30, 2019
2:00 p.m. PT/ 5:00 p.m. ET**

REV. FINAL

OPERATOR:

Ladies and gentlemen, thank you for standing by.

Welcome to the Quidel Corporation third Quarter 2019 earnings conference call. At this time all participants are in a listen-only mode. Later, instructions will be given for the question-and-answer session. If anyone has difficulty hearing the conference, please press *0 for operator assistance.

I'd now like to turn the call over to Mr. Ruben Argueta, Quidel's Director of Investor Relations. Please go ahead.

RUBEN ARGUETA

Thank you, Operator. Good afternoon everyone -- and thank you for joining today's call. With me today are our president and chief executive officer, Doug Bryant and Randy Steward, our Chief Financial Officer.

Our third quarter 2019 earnings release is now available on ir.quidel.com, our Investor Relations website. We will also post our prepared remarks on the Presentations tab of our new IR website following the conclusion of this call, on October 30, 2019, for a period of 30 days.

Please note that this conference call will include forward-looking statements within the meaning of Federal securities laws. It is possible that actual results and performance could differ significantly from these stated expectations. For a discussion of risk factors, please review Quidel's annual report on Form 10-K, registration statements and subsequent quarterly reports on Form 10-Q, as filed with the SEC.

Furthermore, this conference call contains time-sensitive information that is accurate only as of the date of the live broadcast, October 30,

2019. Quidel undertakes no obligation to revise or update any statements to reflect events or circumstances after the date of this conference call, except as required by law.

Today, Quidel released financial results for the three months ended September 30, 2019. If you have not received our news release, or if you would like to be added to the company's distribution list, please contact me at 858-646-8023.

Following Doug's comments, Randy will briefly discuss our financial results. Then, we'll open the call to your questions.

I'll now hand the call over to Doug for his comments.

DOUG BRYANT

Thank you, Ruben, and good afternoon everyone. As you saw in the press release, Quidel's third quarter financial performance was solid, and in line with our expectations. Total revenue was \$126.5 million, up 8% over the prior year quarter. Total Triage revenue, at \$66.8 million, including Triage MeterPro cardiac and toxicology assays and Triage BNP, was once again in the quarterly range of \$64 to \$69 million that

we've suggested is appropriate for the business in advance of the impact of new product launches. Total influenza revenue for the quarter, which includes all immunoassay and molecular platforms, grew 36% to \$29.3 million, driven mainly by influenza test cartridge sales on existing, as well as new Sofia placements. Sofia placements, at under 2,000 in Q3, were typical for a non-flu quarter, aided a bit by a couple hundred or so instruments shipped to new Sofia Lyme Tier 1 customers. Regarding earnings for the quarter, as Randy will describe in more detail, there were no significant spending surprises, the overall gross margin profile was a little elevated due to the increase in flu sales, and the fall-through to EPS was as anticipated given slightly higher revenue and favorable product and geographic mix.

Moving forward we expect modest traction in the fourth quarter in Europe with TriageTrue High Sensitivity Troponin as we await the publication of a major study that demonstrates the clinical performance of our point-of-care high sensitivity assay. We also expect to see progress with the launch of the new Triage toxicology panel, although admittedly our launch was delayed by about one quarter and sales in Q4 will not be as we had anticipated. I have no doubt that we will be as successful with this product as we had planned, but we did have what I would call a self-inflicted wound with the launch of this product, as our

commercial organization in the U.S. was simply not ready to execute. They are executing now, however, and I can explain more about this during the Q&A if you like.

The big questions for the fourth quarter are when the RSV and flu seasons will start and will the flu season be early and severe enough to cause distributors to re-order product, as they would typically do during the last three weeks of the quarter. At this point, I can't call it. In early October we saw hints in our Virena data of the approaching respiratory season, as test rates began to increase. But the increases in test rates, which were across every region of the U.S., were largely due to RSV and other viruses that mimic influenza and that often precede influenza by six to eight weeks. We have seen increased testing and positivity rates for RSV in Florida, which has reached epidemic levels, but to be clear, the volume of RSV test data collected by Virena is not robust enough to be predictive in the way that millions of flu data points are across a season. At this point we are continuing to model a normal season in terms of influenza revenue for the next two quarters.

Shifting gears, I will proudly provide the final update on the status of the integration of the Alere assets. After just two years from the close of the transaction, we have effectively completed our integration process. On

July 1, we went live with the integration of our warehouse operations at our Summers Ridge facility, moving off Abbott's ordering and distribution system and realizing \$2.6 million in annualized synergies. We also successfully migrated India and Brazil to our ERP on August 1, completing the order to cash process for 88 of 89 countries. Japan, the final country, goes live November 1, which gives us control of 100% of the business. At this point we are on track to deliver \$20.4 million in synergies by year end, slightly better than we had planned.

Let's talk for a couple minutes about product development and pipeline. Never in my ten years with this company has the opportunity for revenue growth been as exciting. At last, not only do we hear the wind blowing, but we can see the trees moving. Finally, we've become a product development company of significance, one with the potential for revenue and margin growth driven in large part by the introduction of numerous new products. In the first half of 2020, we expect to introduce several new Sofia assays for C diff toxins; Lyme Tier 2; a single, four-plex Sofia cartridge for Flu, RSV, and hMPV; and simpler, faster bioassays for TSI and TBI, assays for Graves' and Hashimoto's diseases. In the middle of the year we plan to launch five more Sofia assays for lactoferrin, H. pylori, parasites, shiga toxin, and campylobacter. Before year end, we expect to introduce Sofia Strep 98,

which has demonstrated superb analytical performance in studies thus far, and Sofia assays for the two commonly seen community acquired pneumonia infectious agents, Strep pneumo and legionella. Then we'll head into 2021 anticipating the launch of Savanna, which could be the most important product introduction in our history. And there is still more in the pipeline to come.

Overall it was a solid quarter, both financially and operationally. And although Q4 will provide the usual challenges we face every year, we'll end the year in good shape, very well positioned for 2020 and 2021.

Randy?

RANDY STEWARD

Third Quarter Financial Results

Thank you, Doug. Good afternoon everyone. As we reported earlier today, total revenues for the third quarter of 2019 were \$126.5 million dollars, as compared to \$117.4 million dollars in the third quarter of 2018, an increase of 8%. On a constant currency basis, revenue growth was also 8%, reflecting the minimal negative impact of foreign exchange of \$500 thousand in the quarter.

Rapid Immunoassay revenue increased 20% to \$42.5 million, from the third quarter of 2018 due to strong results from our Sofia franchise, which grew 35%. Flu revenue for the rapid category was \$26.6 million dollars, an increase of 37%, while Strep A increased 6% and RSV increased 10%. For the third quarter, Sofia revenue was \$28.7 million dollars, as compared to \$21.2 million dollars in Q3 of the prior year, and QuickVue revenue was \$12.7 million dollars, as compared to \$13.1 million dollars in Q3 of 2018.

Rapid Immunoassay inventory at distribution is up 7% from the third quarter of last year. More granularly, Influenza inventories at distribution are up 28% versus last year's third quarter, and up 12% versus Q3 2017.

In the Cardiac Immunoassay category, revenue totaled \$66.8 million dollars in the quarter versus \$65.3 million in the same period last year, a 2% increase. On a constant currency basis, Cardiac revenue for the third quarter was up 3%. Within the category, Triage revenue was \$33.8 million dollars, a decline of 2% from the third quarter of 2018. On a constant currency basis, Triage revenue was down 1% versus last year. As reported, on a geographic basis, Triage realized 6% revenue growth

in North America, growth in Asia Pacific and Latin America, which was offset by declines in China and in EMEA.

On the Beckman BNP side, revenue increased 7% over the third quarter of 2018 to \$33.0 million and on a constant currency basis, BNP was up 8%. Geographically, as reported, revenue growth for the Beckman business was realized in all geographies except for North America, which was down 2%.

Revenue in the Specialized Diagnostic Solutions category increased 1% in the third quarter of 2019 to \$12.5 million dollars, as our cell culture business declined by 2%, and our MicroVue Bone Health and Complement business grew a combined 17% in the quarter.

Our Molecular Diagnostic Solutions category increased 5% in the third quarter to \$4.7 million dollars, driven by 20% growth from Solana assay revenue. AmpliVue revenue declined 25% in the quarter as we continue to migrate the c. difficile and HSV customers over to Solana.

Gross Profit in the third quarter of 2019 increased \$6.2 million dollars to \$75.9 million, and was driven by higher sales volumes, improved product mix, and lower scrap, partially offset by lower overhead factory

absorption and a negative FX impact. Gross margin in the third quarter of 2019 was approximately 60%, as compared to 59% in the third quarter of 2018. The increase was due to factors described within the net gross profit improvement. Based on product mix and the prevalence of Influenza, we estimate our Q4 gross margin to be in the range of 61% to 62%.

R&D expense decreased by \$1.1 million dollars in the third quarter as compared to the same period last year. This decrease was due primarily to lower spending on projects related to Cardiovascular and Solana platforms, as they were largely completed in 2018. Based on our current project priorities, we expect R&D spend to be in the range of \$13 -14 million for Q4.

Sales and Marketing expense was \$26.6 million dollars in the quarter, roughly flat to the third quarter of last year. We expect Sales and Marketing spend for Q4 to be between 20% to 21% of revenue.

G&A expense increased by \$1.5 million dollars in the quarter, primarily due to increased facilities costs from the expansion required to integrate the acquired Cardiovascular business and professional service fees incurred in the period, partially offset by lower transition service fees.

Acquisition and Integration costs in the third quarter were \$4.5 million dollars, up from \$2.5 million in the third quarter last year primarily due to the impairment loss recorded for a facility lease, as we move our company headquarters over to our Summers Ridge facility in November, and professional service fees.

Interest expense for the quarter was \$3.2 million dollars, and includes \$0.3 million dollars relating to the Convertible Senior Notes, \$0.3 million dollars relating to the Senior Credit Facility, and \$1.9 million dollars relating to the deferred consideration associated with the purchase of the BNP business. On a trailing-twelve-month basis, as compared to the prior period, we realized a \$11.6 million reduction in interest expense due to the reduction in debt of approximately \$168.4 million dollars. Over the last twelve months, we paid down our Revolving Credit Facility by \$75.0 million, reduced our Convertible Note by \$45.4 million, and paid \$48.0 million on the deferred/contingent consideration.

In the quarter, we recorded \$1.3 million in income tax provision. The expense for the quarter was favorably impacted by excess tax benefits from stock-based compensation. We believe our effective tax rate for

full year 2019 should be within the range of 18% to 20% of pre-tax income before consideration for discrete tax items.

We continue to strengthen our balance sheet. In the quarter, we generated \$6.4 million dollars in free cash flow after spending \$6.9 million dollars in capital expenditures. We used a portion of the cash to pay down another \$10.0 million dollars on the Revolving Credit Facility. Additionally, the remaining \$8.2 million balance of the Revolving Credit Facility was paid in full in October 2019.

In the quarter, we had depreciation of \$4.8 million dollars and amortization of \$7.0 million dollars. As of September 30, 2019, the company had \$28.9 million dollars in cash on the balance sheet, and \$13.1 million dollars in principal amount outstanding relating to the Convertible Notes. The outstanding principal balance on deferred and contingent consideration for the acquired Cardiac assets remains at approximately \$184.0 million dollars.

And with that, we conclude our formal comments for today. Operator, we are now ready to open the call for questions.

Q&A

OPERATOR

That is all the time we have today. Please proceed with your presentation or any closing remarks.

DOUG BRYANT

Thanks everyone for your support and for your interest in Quidel. Q3 was another solid quarter, and we're in good shape as we finish out the year and head into 2020. Thanks again, everyone.

OPERATOR

Ladies and gentlemen, we thank you for your participation, and ask that you please disconnect your lines. Goodbye.